Balance of Payment[1]

The balance of payment of a country is a systematic record of all its economic transactions with the outside world in a given year[2]. The term 'all transaction' refers to transactions of the government as well as private. It is a double entry book keeping. Double entry book keeping involves recording each transaction twice consisting of two opposite entries with equal values: one with a credit entry (signifying inflow) and the other with a debit entry (signifying outflow). For example while importing the goods, the goods imported inflows. It is credited as 'import'. At the same time equivalent amount of money needs to be paid. It is debited as 'payable' in the name of the country from where the import was made.

It means, the incomings are credited and outgoings are debited.

The balance of payment is explained in detail with the help of the table 11.1.

I. Current Account

The external transactions are classified as current account and capital account transactions. This classification is similar to the classification of receipts and expenditure as revenue receipts and capital receipts and revenue expenditure and capital expenditure in public finance. Current account transactions are like revenue receipts and revenue expenditures and capital account transactions are like capital receipts and capital expenditures.

Current account transactions are single time and one way transactions. It means that the transaction, either receipt or payment, happens once and the transaction ends there. For example if a person exports goods he gives the goods and receives money and the transaction comes to an end with respect to the particular good exported.